

Still, we've only figured out the problem. Is there a solution on the way? Datacentres in India are coming up, but progress has been slow—setting up a datacentre that meets international standards is a rather large investment.

The National Internet Exchange of India, or NIXI, (www.nixi.org) is a group of ISPs dedicated to the cause of establishing more datacentres in India, and their outlook for the future is quite optimistic. Ajwani agrees, "It will take a couple of years, but the domestic bandwidth situation in India will get better."

Sify, incidentally, has datacentres in Navi Mumbai and Bangalore. VSNL has been at it for a while now, and the number is growing. News surfaced late last year that Google was planning to invest \$1 billion in a datacentre in Andhra Pradesh.

A couple of years it is, then. Meanwhile...

The Penetration Demon

The Telecom Regulatory Authority of India (TRAI), in their Broadband Policy (www.trai.gov.in/broadbandpolicy.asp), estimated three million broadband subscribers by the end of 2005. The actual number was a depressing 835,000 (*source: Tonse Telecom, Analysts*). At the end of 2006, the number was up to 2 million—still short of the previous year's target. What's wrong?

Ajwani blames, in part, the pricing model. "Mobile phones saw phenomenal growth only after prepaid connections came into the market. Indians don't like seeing hidden costs, and they don't want to get a shock at the end of every month—they'll just respond by not adopting. Prepaid broadband connections will give users transparency, and that's the direction ISPs should be thinking in."

And then there's the vicious circle—for penetration to rise, people need compelling reasons that make broadband attractive. One of those compelling reasons will be lower prices, which will come when penetration rises. Now what?

Broadband... And More

While we wait for bandwidth prices to drop, ISPs are keen on showering Value-added Services on us—for a flat subscription fee, you can now get yourself VoIP services, play multiplayer games on-demand and watch TV, with a lot more on the way.

"What broadband will do for people matters as much as broadband itself", says Panham Endlaw, Senior Manager at Airtel Broadband. "Value-added services will play an important role in increasing broadband penetration."

Today, you can buy VoIP services from as many as 30 ISPs—both local and national. For a subscription fee of around Rs 100, you can make calls to any international land line or mobile for as little as Rs 1.25 a minute! Chakravarthy believes VoIP is the future: "There is a huge desire on the part of the Government to make VoIP a reality in a big way, and in a way that will trigger a meltdown in telecom tariffs—which is fantastic. The guys stalling this are the telecom companies—if I can offer you international calls at one rupee a minute and you're willingly paying me five a minute, where is the incentive for me to cut the



“There are 120 million cable TV connections in India just waiting to be exploited.”

Naresh Ajwani
V. P. Projects,
Sify Broadband



price?" He continues, "Right now, all that's being talked about is the fact that ISPs haven't paid the big license fees the telecom companies have, so they shouldn't get to provide telephony. Once all this resistance is broken, just watch..."

Sify plans to promote broadband as an educational medium with their upcoming educational portal—students will receive classroom-like education, enabled with facilities like VoIP. "If parents see broadband in this positive light, they will be less reluctant to adopt it," says Ajwani. Airtel's got educational plans of their own—something that will be "more than just school", Endlaw tells us.

And once the homework is done...

Fun And Games

In September 2006, both Airtel and You Telecom tied up with Indiagames to offer games on demand—play all the multiplayer games you want for a flat monthly subscription fee. You Telecom also plans a service where the base game is free, but you pay a little for additional features—something like *Need for Speed: Carbon*, only you pay real money for upgrades to your car. This was due in January, but has been delayed by a few months.

"You'll notice that a lot of the games we offer are games that families can play," Endlaw points out. "This makes the service more attractive—just good, clean fun." They will be adding more genres soon, though.

Neither has any complaints about the response, but Chakravarthy admits they're still trying to figure out the mind of the gamer, and how to make the service more attractive to this mysterious creature.

Finally, there's good old TV.

Bigger Idiot Box

A lot of talk has surrounded MTNL's announcement of its IPTV services in collaboration with IOL broadband, but will it change the way you watch TV? We watched a demo of the service at IOL's offices, and we must admit that it looks promising on the face of it. Video quality is quite agreeable, and the video on demand service works better than what you get with Direct To Home (DTH) TV today. "And if it's financially feasible, we'll be giving you the latest movies as early as the Sunday after the release," says Oberai.

Others aren't as optimistic about IPTV—"It's just something to showcase," Ajwani scoffs. He also notes that IPTV hasn't had much success in Europe, and that it won't fit in in India, either. Chakravarthy points out that IPTV assumes that you're not used to watching TV on your PC—five years ago, for example, you couldn't imagine watching a movie on your PC. Today, it's practically second nature. And yet, you are made to invest money in a "PC-like" set-top box, bringing the functionality you already have on your PC, to your TV. "But the younger generation will have one window open for TV, one for browsing, one for chat, and so on." With sites like YouTube and services like Joost, why would you need IPTV?

Overall, IPTV is a better alternative to the local *cablewallah* in terms of the services it offers. There's still a chance you won't find some of your